

Examples of Current Assets

Cash in hand (cash balance)
Cash at bank (bank balance)
Closing stock (inventory)
Bills receivable
Accounts receivable
Sundry debtors
Marketable securities
Short-term investment
Prepaid or advance expenses
Accrued income

Examples of Current Liabilities

Bills payable / Accounts payable / Notes payable
Sundry creditors
Short-term bank loan
Bank overdraft
Outstanding expenses
Unearned or advance income
Tax payable / Provision for tax
Dividend payable
Unclaimed dividend
Proposed dividend

ILLUSTRATION 1. Following information are given to you:

Cash balance	Rs. 50,000	Bank overdraft.....	Rs. 50,000
Sundry debtors	100,000	Advance income	10,000
Marketable securities	20,000	Short-term bank loan.....	10,000
Sundry creditors.....	40,000	Accrued income	15,000
Expenses payable	10,000	Prepaid expenses	5,000
Bills receivable.....	50,000		

Required: (a) Total value of current assets (b) Total value of current liabilities (c) Current ratio

Solution

- (a) Current assets = Cash balance + Sundry debtors + Marketable securities + Bills receivable + Accrued Income + Prepaid expenses
= 50,000 + 100,000 + 20,000 + 50,000 + 15,000 + 5,000 = Rs. 240,000
- (b) Current liabilities = Sundry creditors + Expenses Payable + Bank overdraft + Advance income + Short-term bank loan
= 40,000 + 10,000 + 50,000 + 10,000 + 10,000 = Rs. 120,000
- (c) Current ratio = $\frac{\text{Current assets}}{\text{Current liabilities}} = \frac{240,000}{120,000} = 2:1$

Examples of Long-Term Debt

- ☛ Bonds
- ☛ Debentures
- ☛ Mortgage
- ☛ Long-term loans
- ☛ Secured loan
- ☛ Other loan payable after one year

Examples of Shareholders' Fund or Equity

- | | |
|------------------------------|--------------------------------|
| ☛ Equity share capital | ☛ Preference share capital |
| ☛ General reserve | ☛ Reserve & surplus |
| ☛ Retained earnings | ☛ Accumulated profit |
| ☛ Capital reserve | ☛ Share premium |
| ☛ Share forfeiture | ☛ Reserve for contingency |
| ☛ Sinking fund | ☛ Dividend equalization fund |
| ☛ Capital redemption reserve | ☛ Profit and loss account (Cr) |

Less: Fictitious assets (Preliminary expenses, underwriting commission, Discount on issue of shares or debentures, Accumulated loss, Deferred revenue, expenditure, profit and loss account (Dr. balance))

ILLUSTRATION 16. Calculate debt-equity ratio from given information:

- (a) Capital employed Rs. 240,000, long-term debt Rs. 160,000.
- (b) Capital employed Rs. 800,000, shareholders' fund Rs. 200,000.
- (c) Total debts Rs. 900,000, Capital employed Rs. 1200,000 and Current liabilities Rs. 100,000
- (d) Total assets Rs. 260,000, Total debt Rs. 180,000, Current liabilities Rs 20,000.

Solution

$$(a) \text{ Debt-equity ratio} = \frac{\text{Long term debt}}{\text{Shareholders' fund}} = \frac{160,000}{80,000} = 2:1$$

Where,

$$\begin{aligned} \text{Capital employed} &= \text{Long term debt} + \text{Shareholders' fund} \\ \text{or, Shareholders' fund} &= 240,000 - 160,000 = 80,000 \end{aligned}$$

$$(b) \text{ Debt-equity ratio} = \frac{\text{Long term debt}}{\text{Shareholders' fund}} = \frac{600,000}{200,000} = 3:1$$

Where,

$$\begin{aligned} \text{Capital employed} &= \text{Long-term debt} + \text{Shareholders' fund} \\ \text{or, Long-term debt} &= 800,000 - 200,000 = 600,000 \end{aligned}$$

$$(c) \text{ Debt-equity ratio} = \frac{\text{Long term debt}}{\text{Shareholders' fund}} = \frac{800,000}{400,000} = 2:1$$

Where,

$$\begin{aligned} \text{Long-term debt} &= \text{Total debts} - \text{Current liability} = 900,000 - 100,000 = 800,000 \\ \text{Shareholders' fund} &= \text{Capital employed} - \text{Long term debt} = 1200,000 - 800,000 = 400,000 \end{aligned}$$

$$(d) \text{ Debt- equity ratio} = \frac{\text{Long term debt}}{\text{Shareholders' fund}} = \frac{160,000}{80,000} = 2:1$$

Where,

$$\begin{aligned} \text{Long-term debt} &= \text{Total debt} - \text{Current liabilities} = 180,000 - 20,000 = 160,000 \\ \text{Shareholders' fund} &= \text{Total assets} - \text{Total debt} = 260,000 - 180,000 = 80,000 \end{aligned}$$

**Trading and Profit & Loss Account
for the year ending Chaitra 31, 2061**

Dr.

Particulars	Rs.	Particulars	Rs.
To Opening stock	100,000	By Sales	1200,000
To Purchase	700,000	By Closing stock.....	200,000
To Gross profit.....	600,000		
	1400,000		1400,000
To Office expenses.....	85,000	By Gross profit.....	600,000
To Selling & distribution.....	75,000	By Interest	20,000
To Depreciation	50,000		
To Loss on sale of assets.....	10,000		
To Sundry expenses	25,000		
To Interest.....	40,000		
To Provision for taxation.....	83,750		
To Net profit.....	251,250		
	620,000		620,000

**Balance Sheet
As on 31th Chaitra 2061**

Liabilities	Rs.	Assets	Rs.
Share capital @ Rs. 10	400,000	Fixed asset.....	545,000
10% debenture	100,000	Investment.....	180,000
Secured loan	200,000	Current assets.....	250,000
Sundry creditor	90,000	Cash at bank	25,000
Reserve & surplus.....	170,000		
	1,000,000		1,000,000

Required: (a) Gross profit ratio (b) Net profit margin (c) Return on Shareholders' fund
(d) Return on assets (e) Earning per share

Solution

$$(a) \text{ Gross profit ratio} = \frac{\text{Gross profit}}{\text{Net sales}} \times 100 = \frac{600,000}{1200,000} \times 100 = 50\%$$

$$(b) \text{ Net profit margin} = \frac{\text{Net profit}}{\text{Net sales}} \times 100 = \frac{251,250}{1200,000} \times 100 = 20.94\%$$

$$(c) \text{ Return on shareholders' fund} = \frac{\text{Net profit after tax}}{\text{Shareholders' fund}} \times 100 = \frac{251,250}{570,000} \times 100 = 44.08\%$$

Where,

$$\text{Shareholders' fund} = \text{Share capital} + \text{Reserves surplus} = 400,000 + 170,000 = 570,000$$

$$(d) \text{ Return on assets} = \frac{\text{Net profit after tax}}{\text{Total assets}} \times 100 = \frac{251,250}{1000,000} \times 100 = 25\%$$

or

$$= \frac{\text{Net profit after tax} + \text{Interest}}{\text{Total assets}} \times 100 = \frac{251,250 + 40,000}{1000,000} \times 100 = 29.125\%$$

$$(e) \text{ Earning per share} = \frac{\text{Net profit after tax}}{\text{Number of shares issued}} = \frac{251,250}{40,000} = 6.28 \text{ per share}$$